

Bloomberg Automated Summary

NVIDIA Corp Earnings Call [View on the Bloomberg Terminal](#)

05/28/25

Guidance

- Q2 FY26 total revenue is expected to be \$45 billion ($\pm 2\%$), with modest sequential growth across all platforms
- Q2 guidance reflects an \$8 billion revenue impact from lost H20 sales in China
- Q2 GAAP and non-GAAP gross margins are projected at 71.8% and 72% respectively (± 50 basis points), with better Blackwell profitability driving improvement
- Operating expenses for Q2 are expected to be approximately \$5.7 billion (GAAP) and \$4 billion (non-GAAP), with full year FY26 operating expense growth projected in mid-30% range
- The company aims to achieve gross margins in the mid-70s range by late 2025

Margin Story

- Q1 GAAP and non-GAAP gross margins were 60.5% and 61% respectively, but would have been 71.3% excluding the \$4.5B H20-related charge
- For Q2, the company expects GAAP and non-GAAP gross margins of 71.8% and 72% respectively
- The company is targeting gross margins in the mid-70s range by late 2025, driven by improving Blackwell profitability

AI Strategy

- NVIDIA is seeing exponential growth in inference demand, particularly for reasoning AI models that require 100-1000x more tokens than traditional chatbots
- The company introduced new reasoning models called Llama Nemotron, achieving 20% better accuracy and 5x faster inference speed
- NVIDIA launched Isaac GROOT N1, described as the first open foundation model for humanoid robots
- The company sees AI as essential infrastructure that every country and industry will need, similar to electricity and internet
- There are currently about 100 NVIDIA-powered AI factories being built, with the average number of GPUs per factory doubling year-over-year
- Enterprise customers using NVIDIA's NeMo platform have seen significant improvements, including Cisco achieving 40% better model accuracy and 10x faster response time

Cloud Strategy

- Major cloud service providers (CSPs) are rapidly deploying NVIDIA's Blackwell GPUs, with hyperscalers each deploying approximately 1,000 NVL72 racks (72,000 GPUs) weekly
- NVIDIA's Spectrum-X networking solution has gained widespread adoption among major cloud providers
- Singapore represents nearly 20% of Q1 billed revenue due to centralized invoicing by large cloud customers, though products are typically shipped elsewhere

Bloomberg Automated Summary

- Enterprise AI workloads can be deployed either on-premises or in the cloud using NVIDIA's solutions

Orders

- NVIDIA has more orders currently than they did at their last GTC update
- Prior to export controls, the company had \$8B in H20 orders planned for Q2 that they cannot fulfill
- The company had to write down \$4.5B related to inventory and purchase commitments for orders they received before the export controls
- There are approximately 100 AI factories being built currently, with many more unannounced projects in development

Inventory

- NVIDIA took a \$4.5 billion charge for writing down inventory and purchase obligations related to H20 GPUs that could not be sold or shipped due to new export controls
- The inventory write-down was less than initially expected because some materials could be repurposed
- The company is taking a "multi-billion-dollar write-off on inventory that cannot be sold or repurposed" due to the H20 export ban ending their Hopper data center business in China

Competition

- NVIDIA faces competition in China's \$50B AI market, which is now effectively closed to U.S. industry due to export controls
- Export restrictions are strengthening Chinese competitors both domestically and internationally
- Chinese companies like DeepSeek and Qwen are producing some of the best open-source AI models, demonstrating their competitive capabilities
- The loss of access to China's AI accelerator market would benefit NVIDIA's foreign competitors

Market Share

- China represents a \$50 billion AI market that is now effectively closed to U.S. industry following export controls
- NVIDIA had significant China market share through H20 chips that was lost due to export controls, with \$7 billion in expected Q1 orders (\$4.6B recognized + \$2.5B unable to ship) and \$8 billion in planned Q2 orders that cannot be fulfilled
- Singapore represented nearly 20% of Q1 billed revenue, though almost all H100, H200 and Blackwell data center compute revenue billed to Singapore was actually for U.S.-based customers

Capital Allocation

- NVIDIA returned a record \$14.3 billion to shareholders through share repurchases and cash dividends in Q1 2026. Capital return remains a key element of their capital allocation strategy.
- Regarding capital expenditure-related items, NVIDIA has made substantial long-term purchase commitments to support onshore manufacturing investments in America, including TSMC's fabs in Arizona and AI supercomputer factories being built by Foxconn and Wistron in Texas.

Bloomberg Automated Summary

Labor

- Operating expenses increased sequentially due to higher compensation and employee growth
- The company plans to continue investing in infrastructure capabilities and AI solutions throughout the fiscal year, with operating expense growth expected in the mid-30% range

Macro Environment

- The document contains no direct discussion of macro factors like interest rates, inflation, GDP, or broad consumer spending trends. The earnings call focused primarily on NVIDIA's AI and technology business developments, particularly around data center, gaming, and enterprise segments, without addressing the broader macro environment. The only consumer-related comments were specific to NVIDIA's gaming business and products rather than broader consumer trends.

Supply Chain

- NVIDIA has more orders now than at GTC but is increasing supply chain capacity to meet demand
- Major onshore manufacturing investments are happening in the US: - TSMC is building 6 fabs and 2 packaging plants in Arizona - SPIL and Amkor are building packaging facilities in Arizona - Foxconn is building a 1M sq ft AI supercomputer factory in Houston - Wistron is building a plant in Fort Worth
- NVIDIA has made substantial long-term purchase commitments to support US manufacturing investments
- Manufacturing GB200 NVLink racks is highly complex, requiring 1.2M components per rack
- For gaming products, NVIDIA improved supply and availability in Q1 and expects to continue these improvements in Q2

Pricing

- The only direct pricing reference in the document was about the GeForce RTX 5060 and 5060 Ti graphics cards being launched at a \$299 starting price point for mainstream gaming

Product Development

- NVIDIA launched the GB300 (Blackwell Ultra) with 50% more HBM and 50% higher dense FP4 inference compute performance compared to B200, with sampling beginning at major CSPs and production shipments starting later in the quarter
- The company introduced new mainstream gaming GPUs - GeForce RTX 5060 and 5060 Ti starting at \$299, with laptop versions starting at \$1,099
- NVIDIA announced two new AI workstations: DGX Spark (1 petaflop) available in Q3 and DGX Station (20 petaflops, powered by GB300) available later this year
- The company launched Isaac GR00T N1, described as the first open, customizable foundation model for humanoid robots
- NVIDIA introduced new networking products including Spectrum-X and Quantum-X silicon photonics switches with advanced co-packaged optics

Bloomberg Automated Summary

This information is generated by AI. It may not be 100 percent accurate and may contain misspellings and other inaccuracies. This information is provided "as is", without express or implied warranties of any kind. Bloomberg retains all rights to this information and provides it solely for your personal, non-commercial use. Bloomberg, its suppliers and third-party agents shall have no liability for errors in this document or for lost profits, losses, or direct, indirect, incidental, consequential, special or punitive damages in connection with the furnishing, performance or use of such information. Neither the information nor any opinion expressed in this document constitutes a solicitation of the purchase or sale of securities or commodities. Any opinion expressed in this document does not necessarily reflect the views of Bloomberg LP.

© COPYRIGHT 2025, BLOOMBERG LP. All rights reserved. Any reproduction, redistribution or retransmission is expressly prohibited.
